

24STCV22782 24STCV22782

County: los-angeles

Division: Civil Law and Motion

Department: 733

Hearing date: 2026-09-21

Motion: WALSH ENGINEERS, INC.'S MOTION FOR GOOD FAITH SETTLEMENT DETERMINATION

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Case Number: 24STCV22782 Hearing Date: September 21, 2026 Dept: 733

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES

COUNTY

OF INYO, a public entity,

Plaintiff,

vs.

WOLVERINE/INYO, LLC, a Texas limited liability company;

JAMES C. LESLIE, an individual; WAYNE LAMB, an individual; PRIMUS CONTRACTING

GROUP, INC., a Colorado corporation; LEWIS MECHANICAL SYSTEMS, a California

corporation; PLATINUM X CONSTRUCTION CORP, a California corporation doing

business as 2 GROUND ELECTRIC; DIVISION 7 SERVICES, INC., a California

corporation; TN SHEET METAL, INC. a California corporation; KAYDANN

CORPORATION, a California corporation doing business as DOORS & WINDOWS

WEST; INDEPENDENT MASONRY CORPORATION, a California corporation, KAAT

CONSTRUCTION INC., a California corporation by and through Intervenor, ALLIED

WORLD SURPLUS LINES INSURANCE COMPANY, an Arkansas corporation; WARE MALCOMB,

a California corporation; WALSH ENGINEERS INCORPORATED, a California

corporation; ECO HERS, LLC, a California limited liability company; AMIN

FARSI, an individual; WESTERN SURETY COMPANY, a South Dakota corporation: and

DOES 1 through 80, inclusive,,

Defendants.

AND RELATED CROSS-ACTIONS.

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CASE

NO.: 24STCV22782

[TENTATIVE] ORDER RE:

WALSH ENGINEERS, INC.'S MOTION
FOR GOOD FAITH SETTLEMENT DETERMINATION

Dept. 733

8:30 a.m.

September 21, 2026

I.

INTRODUCTION

On December 15, 2023, Plaintiff County of Inyo ("Plaintiff" or "County") filed a

complaint against Defendants

Wolverine/Inyo LLC ("Wolverine"), James C. Leslie ("Leslie"), Wayne Lamb ("Lamb"), Primus Contracting Group, Inc. ("Primus"), Lewis Mechanical Systems ("Lewis Mechanical"), Platinum X Construction Corp dba 2 Ground Electric ("2 Ground Electric"), Division 7 Services, Inc. ("Division 7 Services"), TN Sheet Metal, Inc. ("TN Sheet Metal"), Kaydann Corporation dba Doors & Windows West ("Kaydann"), Independent Masonry Corporation ("Independent"), Kaat Construction, Inc. dba Doors & Windows West ("Kaat"), Ware Malcomb ("Ware Malcomb"), and Western Surety Company ("Western Surety") (collectively, Defendants").

On

September 23, 2025, County filed a first amended complaint ("FAC") against Defendants, alleging causes of action for (1) Property Damage, (2) Breach of Lease, (3) Breach of Express Warranties, (4) Breach of Implied Warranties, (5) Intentional Misrepresentation, (6) Negligent Misrepresentation, (7) Fraudulent Concealment, (8) Constructive Fraud, (10) Professional Negligence, (11) Strict Liability, and (12) Enforcement of Claim on Contractor's License Bond. County also added Walsh Engineers, Inc. ("Walsh"), Eco Hers, LLC ("Eco"), and Amin Farsi ("Farsi") as Defendants.

The

FAC alleges the following. This action concerns a construction project involving the work of improvement ("the Project") commonly known as the County of Inyo Consolidated Office Building ("the Building") located at 1360 North Main Street, Bishop, California 93514 ("the Property"). (FAC ¶ 24.) On or about January 18, 2019, Plaintiff and Wolverine entered into a Build to Suit Lease Agreement, whereby Wolverine, as landlord, agreed to design, construct, and lease to Plaintiff, as tenant, an office building pursuant to a proposal dated March 22, 2010, and the terms of the Lease. (Id. ¶ 25.) Under the terms of the Lease, Plaintiff agreed, upon the completion of the construction of the Building, to lease the Building and the Property (the "Leased Premises") from Wolverine, to make an initial payment of \$7,800,000, to make payments of \$250,000 on each of the fifth, tenth, and fifteenth anniversaries of the Lease term, and to make monthly payments of \$39,103.21 for the Lease term of twenty years, in

exchange for Plaintiff's quiet enjoyment of the Leased Premises. (Id. ¶ 26.)

On

or about May 7, 2021, Wolverine, the developer, Ware Malcomb, the architect, and Primus, the general contractor for the Project, represented in writing that the Project was substantially complete in accordance with the approved plans for the Project. (Id. ¶ 30.) In reliance upon the Lease, Plaintiff terminated its other office leases, and incurred significant expenses preparing for its occupancy of the Leased Premises. (Id. ¶ 31.)

Shortly after

occupying the Leased Premises in 2021, the Building experienced problems with the heating, ventilation, and air conditioning systems, and suffered from water intrusion and flooring. (Id. ¶¶ 32-33.)

On February 13,

2024, Primus filed a cross-complaint, alleging causes of action for (1) Strict Liability, (2) Negligence, (3) Total Implied Indemnity, (4) Implied Partial Indemnity, (5) Comparative Equitable Indemnity, (6) Breach of Contract, (7) Express Indemnity, (8) Breach of Express Warranty, (9) Breach of Implied Warranties, (10) Declaratory Relief Re: Duty to Indemnify, and (11) Declaratory Relief Re: Duty to Defend.

On September 5,

2024, Ware Malcomb filed a cross-complaint, alleging causes of action for (1) Express Contractual Indemnity, (2) Implied/Equitable Indemnity, and (3) Declaratory Relief.

Also on September

5, 2024, TN Sheet Metal filed a cross-complaint, alleging causes of action for (1) Equitable Indemnity, (2) Contribution, and (3) Declaratory Relief.

Also on September

5, 2024, Wolverine filed a cross-complaint, alleging causes of action for (1) Strict Liability, (2) Negligence, (3) Total Implied Indemnity, (4) Comparative Equitable Indemnity, (5) Comparative Equitable Indemnity, (6) Breach of Contract, (7) Express Indemnity, (8) Breach of Express Warranty, (9) Breach of Implied Warranties, (10) Declaratory Relief Re: Duty to Indemnify, (11) Declaratory Relief Re: Duty to Defend, and (12) Breach of Lease.

Also on September

5, 2024, Lewis Mechanical filed a cross-complaint, alleging causes of action for (1) Indemnification, (2) Apportionment of Fault, and (3) Declaratory Relief.

On December 17,

2025, Coyne Development Corporation ("Coyne") was added as MOE 1.

On January 10,

2025, Walsh filed a cross-complaint, alleging causes of action for (1) Equitable Indemnity, (2) Implied Indemnity, (3) Apportionment of Fault/Contribution, (4) Express Indemnity, (5) Declaratory Relief, and (6) Breach of Contract for Failure to Defend and Indemnify.

On

August 3, 2026, the Court granted a motion for good faith settlement determination brought by County, Primus, Leslie, Lamb, Wolverine, 2 Ground Electric, Division 7 Services, TN Sheet Metal, Kaydann, Independent, Kaat, Eco, Farsi, and Lewis Mechanical.

On

September 3, 2026, Walsh filed the instant motion for good faith settlement determination.

No

opposition was filed.

II.

LEGAL STANDARD

A court must

approve any settlement entered into by less than all joint tortfeasors or co-obligors. (Code Civ. Proc., § 877.6.) This requirement furthers two (sometimes competing) policies: (1) the equitable sharing of costs among the parties at fault, and (2) the encouragement of settlements. (Erreca's v. Superior Court (1993) 19 Cal.App.4th 1475, 1487.)

Under Code of

Civil Procedure section 877.6: "A determination by the court that the settlement was made in good faith shall bar any other joint tortfeasor or

co-obligor from any further claims against the settling tortfeasor or co-obligor for equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault." (Code Civ. Proc., § 877.6, subd. (c).)

"[T]he intent and policies underlying section 877.6 require that a number of factors be taken into account including [1] a rough approximation of plaintiffs' total recovery and the settlor's proportionate liability, [2] the amount paid in settlement, [3] the allocation of settlement proceeds among plaintiffs, and [4] a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial. Other relevant considerations include [5] the financial conditions and insurance policy limits of settling defendants, as well as [6] the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants. (Citation)." (Tech-Bilt, Inc. v. Woodward-Clyde & Associates (1985) 38 Cal.3d 488, 499 ("Tech-Bilt").)

The Tech-Bilt factors must be evaluated "on the basis of information available at the time of the settlement." (Tech-Bilt, supra, 38 Cal.3d at p. 499.)

"[A] defendant's settlement figure must not be grossly disproportionate to what a reasonable person, at the time of the settlement, would estimate the settling defendant's liability to be." (Torres v. Union Pacific R. Co. (1984) 157 Cal.App.3d 499, 509.)

When a motion for determination of good faith settlement is contested, the moving party must provide the court with declarations or other evidence demonstrating the facts necessary to evaluate the settlement in terms of the Tech-Bilt factors. (City of Grand Terrace v. Superior Court (1987) 192 Cal.App.3d 1251, 1261.

After an initial showing by the moving party, the burden of proof then shifts to the nonsettling defendant to demonstrate the settlement lacks good faith. (Code Civ. Proc., § 877.6, subd. (d); Abbott Ford, Inc. v. Superior Court (1987) 43 Cal.3d 858, 895.) In order to demonstrate a lack of good faith, the nonsettling party must show the settlement is so far "out of the ballpark" as to be inconsistent with the equitable objectives of section 877.6. (Nutrition Now, Inc. v.

III.

DISCUSSION

Walsh moves for an order determining that its settlement with County was entered in good faith within the meaning of Code of Civil Procedure section 877.6 and to bar any and all claims for equitable indemnity and contribution from Walsh.

To fulfill its initial burden of submitting evidence demonstrating the facts necessary to evaluate the settlement in terms of the Tech-Bilt factors, Walsh provides the following.

As to the first and second factors, County's claims against Walsh include engineering costs to analyze and redesign the HVAC system of approximately \$120,000, estimated future HVAC repairs costs of \$373,306.62 (including future design fees), past HVAC repair costs of approximately \$75,000, and loss of use, disruption and productivity due to the malfunctioning and inadequate HVAC system in amount which is currently being analyzed but will likely range between \$100,000 to \$300,000. (Senet Decl., ¶ 3.) Without considering credits for past settlement amounts, Walsh's potential liability was likely in the range of \$675,000 to \$875,000. After allowing a discount for the uncertainties of trial and for settling prior to trial and considering the continued costs of litigation without the ability to recover attorneys' fees from Walsh, the parties reached a settlement of \$175,000.00. (Ibid.)

The third factor is inapplicable as there is only one Plaintiff in this action. Though County and Walsh have agreed to allocate the \$175,000 settlement proceeds to the investigative fees for the analysis of the designed HVAC system and potential redesign of the HVAC system, then the balance to the HVAC repairs. (Senet Decl., ¶ 4)

As to the fourth factor, Walsh is expected to pay less in settlement than at trial. Walsh's payment of more than 44% of the County's claimed cost of repair achieves the purpose and intent of recognizing that a party should pay an amount less than the full amount of recovery should the matter proceed to trial. Furthermore,

the Contract between Wolverine and Walsh contained, among other things, a limitation of liability provision capping Walsh's liability at \$25,000.00 and a no third-party beneficiary clause that declared Walsh's services on the project were being provided solely for the benefit of its client, Wolverine. (Mitchell Decl., ¶ 3.) To the extent Walsh were to prevail on its claim that its liability was limited to \$25,000.00 pursuant to the limitation of liability provision in the Contract, Walsh's current settlement payment is 7x the amount of the limitation of liability provision.

As to the fifth factor, Walsh maintains a with "defense within limits" or "burning limits" professional liability insurance policy. (Mitchell Decl., ¶ 8.) This means that the amount available declines for every dollar expended on attorney fees, costs and experts' fees in this case and any other case filed within the same policy year. This matter has been vehemently contested by over ten parties for multiple years. It can reasonably be expected that a trial of this nature will take weeks, and a sizeable portion of the policy limits available. With defense costs to date and the settlement, the likelihood of Walsh being able to pay the same or greater settlement or judgment at a later point in time reduces every day. (Ibid.)

The Court finds that Settling Parties have met their initial burden to demonstrate that the settlement was made in good faith.

"[W]hen no one objects, the barebones motion which sets forth the ground of good faith, accompanied by a declaration which sets forth a brief background of the case is sufficient." (City of Grand Terrace v. Superior Ct. (1987) 192 Cal App.3d 1251, 1261.)

Walsh's motion for good faith settlement determination is granted.

IV.

CONCLUSION

Based on the foregoing, Walsh's motion for good faith settlement determination is

GRANTED.

Dated this 21st
day of September 2026

Hon. Gary
D. Roberts

Judge
of the Superior Court